SCHEDULE SPSS

STATION POWER SELF-SUPPLY

APPLICABILITY

This schedule is optionally available to eligible customers as determined by the California Independent System Operator (CAISO) and the Utility, with Generating Units operating under the CAISO Tariff, Station Power Protocol (SPP). The SPP allows a customer to self-supply its Station Power load, which is normally supplied by the Utility or by an Energy Service Provider (ESP) if the customer is receiving Direct Access (DA) service or a Community Choice Aggregator if the customer is receiving Community Choice Aggregation (CCA) service, through On-Site Self-Supply or Remote Self-Supply from Generating Units that are a part of its CAISO-approved Station Power Portfolio. Customers receiving service under one of SDG&E's Net Energy Metering (NEM) tariffs, the Net Billing Tariff (NBT) or a critical peak pricing commodity rate are not eligible for service under this schedule. T

Only Station Power loads associated with Generating Units located within the CAISO Controlled Grid that are part of a CAISO-approved Station Power Portfolio may be self-supplied and eligible for services under this schedule.

TERRITORY

Within the entire territory served by the utility.

RATES

On-Site Self-Supply

Station Power loads located on the same site as the Generating Unit, will not be subject to any charges from the customer's Otherwise Applicable Tariff(s) (OAT).

Remote Self-Supply

Station Power loads offset by Remote Self-Supply that uses only the CAISO Controlled Grid, will not be subject any charges from the customer's OAT.

Station Power loads offset by Remote Self-Supply that uses the Utility's distribution system will be charged for the actual use of SDG&E's distribution facilities. They will not be subject to any other charges.

Third-Party Supply

If the third-party supplier is the Utility (i.e., the customer is a Bundled Service customer), the OAT will consist of all charges applicable to Bundled Service customers. If the third-party supplier is an ESP, the OAT will consist of all charges applicable to DA customers. If the third-party supplier is a Community Choice Aggregator, the OAT will consist of all charges applicable to CCA customers.

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RATES (Continued) N

The charges applicable to SPP participants remain subject to change pending judicial review.

SPECIAL CONDITIONS

1. Prior to the customer receiving service under this schedule, the Utility must receive written confirmation from the CAISO that the customer has elected to participate under the SPP. The confirmation must include the effective date when service under the SPP will begin. Information provided by the applicant to the CAISO is subject to verification by the Utility. Refusal or failure of a customer to provide eligibility information acceptable to the Utility shall delay the provision of service under this schedule.

2. Customers requesting service under this schedule are required to notify the Utility of their eligibility for service under this schedule. A customer applying for service under this schedule shall submit a written request for service under this schedule. Service under this schedule shall become effective on the next regularly scheduled meter read date following receipt of the customer's written request and acceptance of the customer's SPP application by the Utility.

3. Notice of Change in Customer's Equipment or Operations: It is the customer's responsibility to notify the Utility, in writing, if there is a change in the customer's equipment or operations which may change the customer's eligibility for service under this schedule or under the SPP.

4. Notice of Pending Appeal**:** An appeal of the Federal Energy Regulatory Commission's (FERC's) June 22, 2005 and related orders is pending before the U.S. Court of Appeals for the D.C. Circuit (DC Circuit appeal) related to this section. A Customer eligible for and taking service under Schedule SPSS, must acknowledge its obligation to and agreement to pay charges consistent with the resolution of the DC Circuit appeal, including subsequent decisions on appeal or remand, if any, for any time after the later of April 1, 2006 or when the Customer received CAISO certification to operate under SPP. Appropriate payment constitutes the final amount calculated commencing from the date when the Customer received CAISO certification to operate under SPSS until the effective date of CPUC jurisdictional standby tariffs that reflect the resolution of the D.C. Circuit appeal. Any payments owed SDG&E resulting from the reconciliation will not include interest except as specifically ordered in the clarifying tariffs.

5. Definitions: The definitions of terms used in this schedule are either found below or in Rule 1.

   a. Net Output – The gross energy output from a Generating Unit less the Station Power requirements for such Generating Unit during the Netting Period, or the energy available to provide Remote Self-Supply from a generating facility in the Station Power Portfolio during the Netting Period.

   b. Netting Period – A calendar month representing the interval over which the Net Output (if positive) from generating resources in a Station Power Portfolio is available to be attributed to the self-supply of the Station Power in that Station Power Portfolio. N

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5. Definitions: (Continued)

c. On-Site Self-Supply – Energy from a Generating Unit deemed to have self-supplied all or a portion of a customer's Station Power load without use of the CAISO Controlled Grid during the Netting Period.

d. On-Site Self-Supply Load ID – A Load ID established by the CAISO and assigned to the Station Power Portfolio's Scheduling Coordinator to schedule Station Power load not netted using Permitted Netting. Any load that is not eligible for Permitted Netting will be associated with this Load ID, unless some portion is reassigned to another Load ID at the end of the Netting Period.

e. Permitted Netting – Netting the values of Generating Unit output and Station Power load electrically connected to that Generating Unit at the same point provided that the Generating Unit is on-line and is producing sufficient output to serve the entire Station Power load. Where a Generating Unit's Station Power load is served via a distribution line that is separate from the switchyard to which the Generating Unit is connected, that Generating Unit and the Station Power load will not be considered to be electrically connected at the same point.

f. Remote Self-Supply – Positive Net Output from generating resources in the Station Power Portfolio that is deemed to have self-supplied all or a portion of the Station Power load of other Generating Units in the Station Power Portfolio during the Netting Period with use of the CAISO Controlled Grid.

g. Remote Self-Supply Load ID – A Load ID established by the CAISO and assigned to the Station Power Portfolio's Scheduling Coordinator. This Load ID will be used by the CAISO after the Netting Period to identify Station Power load that was remotely self-supplied during the Netting Period by a Generating Unit within the Station Power Portfolio.

h. Station Power – Energy at a generating site used exclusively for the production of energy at that site by the entity owning the Generating Unit. Station Power does not include energy used to serve loads outside of the CAISO Controlled Grid and all other excluded load, as defined in the CAISO Tariff. Generating Units may self-supply Station Power by:

(1) Netting Station Power against contemporaneous on-site generation (Permitted Netting) as currently allowed under the CAISO Tariff (e.g. On-Site Self-Supply).

(2) Attributing energy generated in other hours within the monthly Netting Period (e.g. On-Site Self-Supply) from the on-site Generating Unit.

(3) Attributing the Net Output of another Generating Unit within CAISO Controlled Grid or generating facility outside the CAISO control area (e.g. Remote Self-Supply).

If the Net Output from all the generating facilities is insufficient to serve all Station Power, then the difference is deemed to have been served by Third-Party Supply.

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5. Definitions: (Continued)

i. Station Power Portfolio – One or more generation resources eligible to self-supply Station Power, including Generating Units located within the CAISO Controlled Grid and generating facilities located outside of the CAISO Controlled Grid, all of which are owned by the same entity.

j. Third-Party Supply – Energy deemed to have been purchased from a third party to supply Station Power load during the Netting Period.

k. Third-Party Supply Load ID – A Load ID established by the CAISO and assigned to the Scheduling Coordinator of the Utility or the Scheduling Coordinator of the ESP if a DA customer or Scheduling Coordinator of the Community Choice Aggregator if a CCA customer. This Load ID will be used by CAISO after the Netting Period to identify Station Power load for which the Station Power Portfolio owner failed to Self-Supply Station Power. All load assigned to this Load ID will be billed under the customer's OAT.

l. CAISO Controlled Grid - The system of transmission lines and associated facilities that have been placed under the CAISO's Operational Control.

6. Bill Calculation: The customer's Delivery Service and generation obligations will be based on metered consumption.

Until meter data assigned by the CAISO to the On-Site Self-Supply Load ID, Remote Self-Supply Load ID, and Third-Party Supply Load ID is provided to the Utility in an acceptable format, either in 5-minute or 15-minute intervals, the customer's monthly usage will be based upon the Utility's meter reads, if available.

7. Prior to receiving service under this schedule, the customer shall provide consent to enable the Utility to receive the customer's meter data from the CAISO including meter data for load associated with the On-Site Self-Supply Load ID, Remote Self-Supply Load ID, and Third-Party Supply Load ID. Such meter data received by the Utility from the CAISO shall be in an acceptable format, either in 5-minute or 15-minute intervals, for billing under this schedule. Demand charges will be based upon the highest recorded demand interval.

8. The customer acknowledges that as a condition for receiving service under this schedule the meter data allocated to the On-Site Self-Supply Load ID, Remote Self-Supply Load ID, and Third-Party Supply Load ID which is used by the Utility for billing the customer is provided to the Utility by the CAISO and is not subject to the Utility's validation process for metered data. The customer agrees that for purposes of Utility billing, such meter data provided by the CAISO and allocated to the Load IDs shall be deemed accurate.

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